SECTION 4 · INSTITUTIONAL DERIVATIVES ARCHITECTURE

FUTURES & OPTIONS OPEN INTEREST FIELD MANUAL (ROWS 9 & 10)

CORE DOCTRINE: Derivatives GRADE, they NEVER GATE.
Market structure and Price Action dictate the setup; F&O reveals near-month friction, writer ceilings, and trapped liquidity.

1. ROW 9 · FUTURES OI STATE MACHINE

DAY-OVER-DAY CASH VS ΔOI

State	Px	OI	Tape Dynamic	Action
Long Build-up	▲	▲	Fresh buyers adding leverage with conviction	Breakout has fuel; trade full aggression.
Short Covering	▲	▼	Trapped shorts exiting; no new demand	**Do not chase.** Fades are frequent.
Short Build-up	▼	▲	Bears aggressively pressing declines	**Bounces are suspect.** Heavy supply.
Long Unwinding	▼	▼	Longs liquidating without aggressive shorts	Drifting, exhausted tape; await value.

POSITIONING BASIS (TRAPPED MONEY CALCULATOR)

- **Long Basis (basis L):** Weighted price of contracts added on up-close days.
  - *Price < basis L:* Marginal long is **underwater**; sells to break even (**Resistance**).
  - *Price > basis L:* Longs are in profit; actively buy to defend dips (**Support**).
- **Short Basis (basis S):** Weighted price where contracts were added on down-closes. Price sustaining above it traps shorts, generating covering acceleration fuel.
- **Built Share (bld %):** Share of 20 daily prints adding net contracts.
  - ≥ *40%:* Active, mathematically reliable book.
  - *< 40%:* Book mostly unwound; basis is stale (suppress read).

2. ROW 10 · OPTIONS OI & WRITERS' CORRIDOR

NEAR-MONTH POSITIONING

PUT WALL (writers S) ⟵ SPOT PRICE (Expected Corridor) ⟶ CALL WALL (writers R)
Institutional Floor — Institutional Ceiling

- **Put-Call Ratio (PCR):** Total Put OI ÷ Total Call OI.
  - *< 0.70* `Call-Heavy` 🔴: Massive call writing. Capped upside.
  - *0.70 – 1.30* `Balanced` ⚪: Neutral tape; no strong derivative bias.
  - *> 1.30* `Put-Heavy` 🟢: Writers defending downside; strong floor.
- **Call Wall (writers R):** Strike with peak Call OI. Concrete ceiling pure chart patterns cannot see. If T1 sits above it, reward fights option writers.
- **Put Wall (writers S):** Strike with peak Put OI. Validates stop loss if SL sits safely behind this wall.
- **Max Pain:** Strike where option buyers lose maximum capital.
  - *Doctrine:* **An expiry magnet, NEVER a price target.** Pulls price inward during expiry week.
- **ATM Shift (ATM ΔOI):**
  - *Positive (+):* Writers adding (range consolidation / slow drift).
  - *Negative (−):* Writers fleeing (path clear for impulsive drive).

3. BAND V EXECUTION & LIVE CASE STUDY

PLAN & RISK SYNTHESIS

STEP 1: STATE CHECK — Is it *Long Build-up*?
• *YES:* Full breakout aggression. • *NO (Short Build-up / Covering):* Pullbacks only.

STEP 2: BASIS HURDLE — Is price below *basis L*?
• *YES:* Selling churn at `basis L` (trapped longs). • *NO:* `basis L` defends as support.

STEP 3: CALL WALL VS T1 — Does *writers R* sit below T1?
• *YES:* Check `R to the wall`. Book 25%–50% partial at or before the wall!
• *NO:* Clear runway to technical T1; hold standard runner for 3R+.

STEP 4: STOP SHIELDING — Does Stop Loss rest below *writers S*?
• *YES:* Institutionally protected: put writers defend before SL is touched.

UNOMINDA (125m) Decoded — **RECOVERY (Auto-113)**

- **Spot:** 1230.0 • **Futures:** Short build-up +0.4%
- **Basis:** L 1239.5 | S 1126.2 (Combined: 1259.2)
- **Options:** PCR 0.61 🔴 | Max Pain: 1240.0 (+0.8%)
- **Walls:** S 1200.0 → R 1300.0 | **Plan:** T1 1403.4 (3.0R) | SL 1172.2

TACTICAL RULINGS:

1. **T1 Truncation:** Technical T1 is 1403.4, but Call Wall sits at 1300.0 (→ only 1.2R runway). Book partial scale-out at 1300.0!
2. **Immediate Friction:** Long Basis (1239.5) and Max Pain (1240.0) form a 10-pt hurdle. Expect a grinding drift, not an explosion.
3. **Stop Safety:** SL at 1172.2 rests safely below Put Wall (1200.0). Institutional put sellers protect your stop.

4. DERIVATIVES TRAPS & FALSE-SIGNAL SHIELDS

FAILURE MODE PROTECTION

TRAP 1: The Short Covering Mirage (Price ▲, OI ▼)
A green breakout bar looks identical to genuine institutional accumulation, but falling OI reveals it is powered purely by trapped bears buying to cover. When covering exhausts, bids vanish and price rolls over. *Shield: Never buy breakout highs on short covering; buy only pullbacks to support.*

TRAP 2: The Call Wall Suffocation (Call Wall < 1.5R away)
A perfect Stage 2 chart setup forms with a 3.0R target, but peak call writing sits just 3% above entry. Call writers defend their strike aggressively by shorting futures, stalling the trade before T1. *Shield: Always verify "R to the wall". If under 2R, demand a deeper discount entry.*

TRAP 3: The Trapped-Long Selling Cascade (Price < Long Basis)
When price breaks down below `basis L`, every marginal buyer in the futures book is in the red. The first test of `basis L` is routinely swamped by breakeven selling. *Shield: Treat basis L as hard resistance until price closes above it on expanding volume.*

TRAP 4: Expiry Week Gamma Pinning (Last 5 Days to Expiry)
Expecting a 5R trending runner during monthly expiry week when spot is within 1.5% of Max Pain. Market maker delta hedging forces price to oscillate around Max Pain to burn premium. *Shield: Trade swing size; close or scale out before Thursday expiry.*

5. HOUSE TARGET MATRIX & R-CANON SCALING

DISCIPLINED SCALE-OUT RULES

HOUSE SCALE-OUT ALLOCATION (3-LEG RULE):

- **Leg 1 (25% at T1 / Call Wall):** Covers risk; moves trade to free-roll.
- **Leg 2 (25% at T2):** Locks solid equity profit.
- **Leg 3 (50% Runner on Trail):** 88% of positional trade gains come from the trailing runner. T3 defaults to 0 to protect the runner!

CATALYST TARGET MATRICES & ATR MULTIPLIERS:

- **Positional (POS):** 3R / 5R / 8R (Catalyst fallback: 4.0× ATR)
- **Wyckoff (WYC):** 3R / 5R / 8R (Catalyst fallback: 3.5× ATR)
- **Recovery (REV):** 2R / 4R / 6R (Catalyst fallback: 2.5× ATR)
- **Swing (SWG):** 2R / 4R / 6R (Catalyst fallback: 1.5× ATR)

CALL WALL RE-PRICING FORMULA:

`R to Wall = (Call Wall - Entry Price) / (Entry Price - Stop Loss)`

If R to Wall < T1 (or < 2.0R), the engine flags ⚠ call wall binds. Action: Scale out 25% to 50% at the wall, never hold whole position hoping for a miracle through peak call OI.

6. CHART STRUCTURE × F&O CONFLUENCE

MASTER 5-GATE CHECKLIST

Chart Feature (Band II)	F&O Layer (Rows 9 & 10)	Combined Edge
Demand Zone (DZ)	Put Wall (writers S)	Dual Concrete Floor
Breakout Pivot	Long Build-up (+OI)	Institutional Ignition
Volume Profile POC	Futures Long Basis	Critical Reclaim Level
Supply Zone (SZ)	Call Wall (writers R)	Double Concrete Ceiling

PRE-FLIGHT 5-GATE SANITY CHECKLIST:

[ ] **Gate 1 (State):** If Short Build-up or Covering, is entry strictly a pullback to value?
[ ] **Gate 2 (Long Basis):** If spot < basis L, is first partial budgeted at basis L?
[ ] **Gate 3 (Call Wall):** Does clear runway exist to at least 1.5R before peak call OI?
[ ] **Gate 4 (Put Wall):** Does technical Stop Loss rest safely behind the Put Wall?
[ ] **Gate 5 (Expiry):** Are we ≥7 sessions away from monthly expiry, or sizing for swing?